COUNTY COUNSEL'S IMPARTIAL ANALYSIS OF MEASURE H

MEASURE H - – SOLANO COUNTY UNINCORPORATED TRANSIENT OCCUPANCY TAX

Measure H would amend Article II of Chapter 11 of the Solano County Code to increase the County's Transient Occupancy Tax ("TOT") within the unincorporated areas of Solano County from 5% to 12% of the rent charged for short-term lodging. The tax applies to hotels, motels, inns, vacation rentals, campgrounds, recreational vehicle parks, and other lodging accommodations located in the unincorporated areas of the County. The tax generally applies to stays of 30 days or less and is paid by the transient occupant, although it is collected and remitted by the lodging operator or, in some circumstances, an online booking service.

The measure would increase the existing tax rate by seven percentage points. According to the ballot question, the increase is estimated to generate approximately $58,500 in additional annual revenue. The ordinance provides that the tax is a general tax, meaning the revenue would be deposited into the County's General Fund and may be used for any lawful governmental purpose, including essential public services, as determined through the County's annual budget process.

The measure also updates and revises various provisions of the existing Transient Occupancy Tax ordinance, including definitions and administrative provisions relating to the collection and enforcement of the tax. These amendments include updating and clarifying definitions, expressly addressing online booking services, expanding and clarifying the types of lodging and charges subject to the tax, and making other revisions intended to clarify the administration, collection, enforcement, and operation of the ordinance without materially changing its existing framework.

If approved by a majority of voters, the ordinance would become effective on January 1, 2027. The increased tax would remain in effect unless repealed or amended by the Solano County Board of Supervisors or by the voters. If the measure is not approved, the County's Transient Occupancy Tax would remain at 5%.

Respectfully submitted,

Carrie Blacklock
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